

Swiss Re



Welfare Reform

Impact and opportunity

Louise Ockenden
Health Claims Forum
10 February 2011



Agenda

- Welfare Reform Act 2007
- Sick note to fit note
- 21st Century Welfare
- Impact and opportunities
- Summary
- Any questions?



A familiar story

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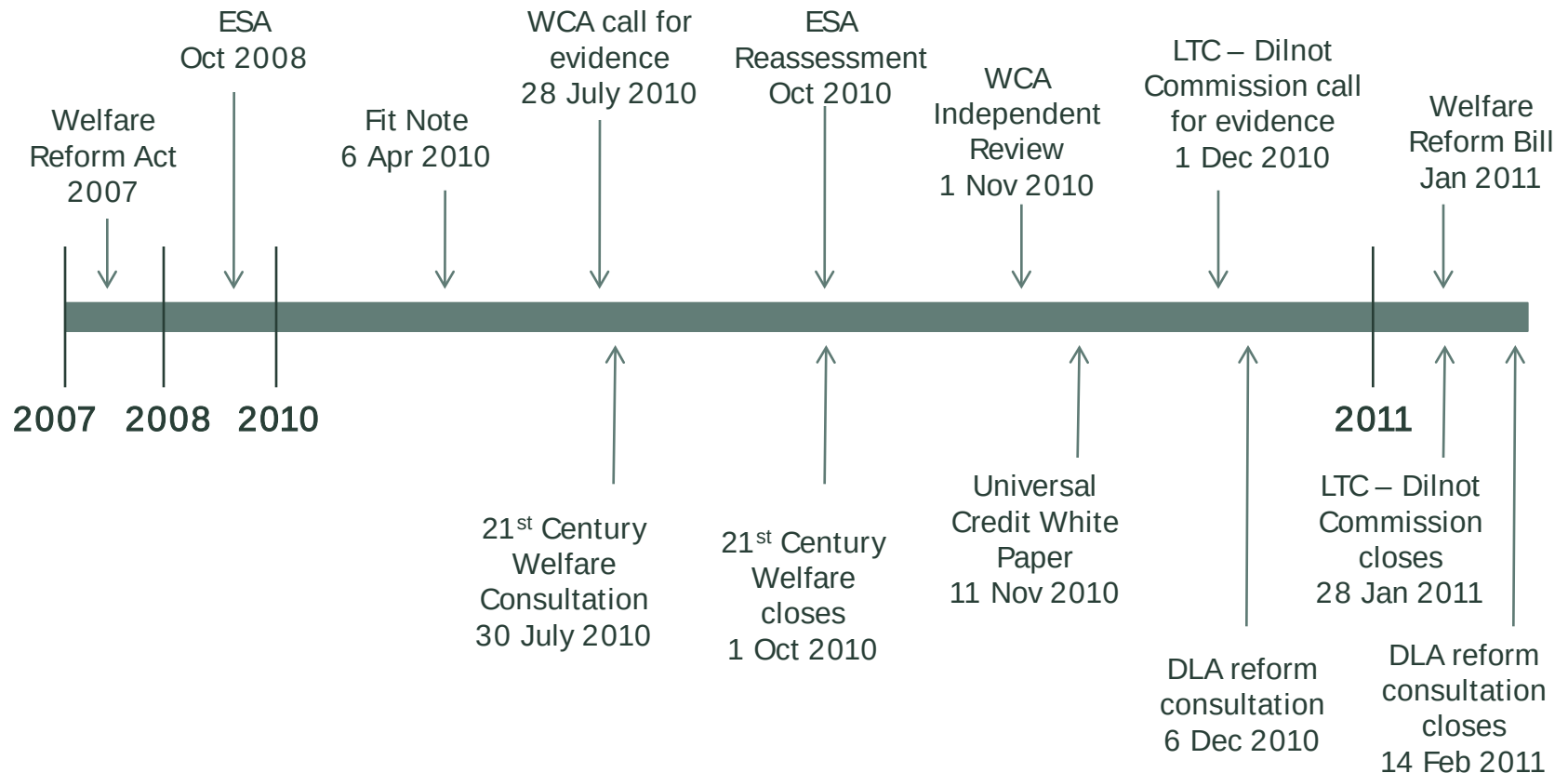
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Source: DWP Dec 2010



Time line of events



Welfare Reform Act 2007

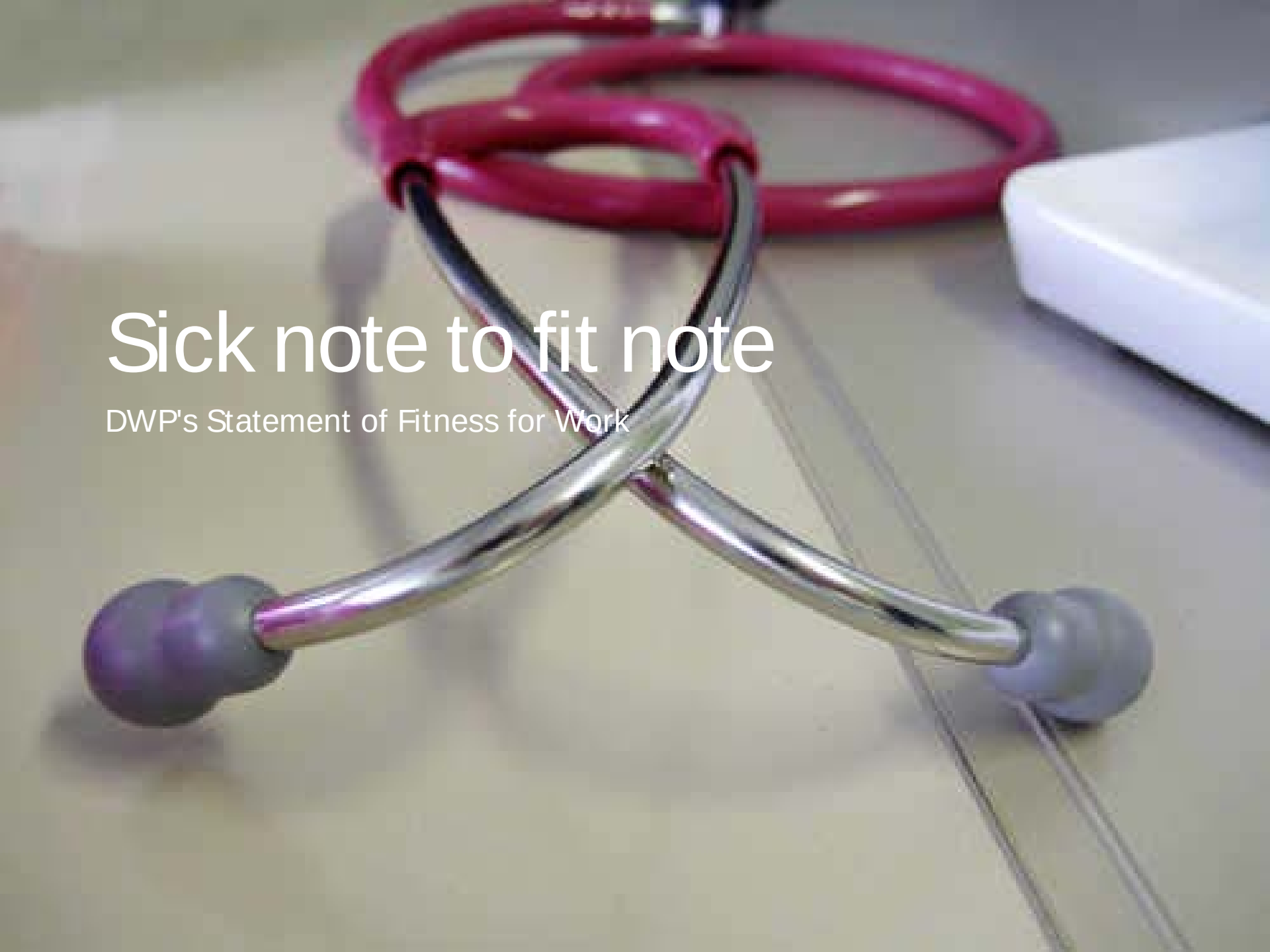
Introducing ESA and the WCA





Employment and Support Allowance (ESA)

- Introduction of ESA from October 2008
- Replaced incapacity benefit, income support paid on the grounds of incapacity and severe disablement allowance
- Reassessing all existing claimants from October 2010
- Work Capability Assessment (WCA)
- Work-related activity (WRA) component or support group component
- Conditionality i.e. participation in work focused interviews.
- Since launch, 65% of all completed assessments have been found fit to work
 - Work related group – 25%
 - Support Group – 10%
 - Fit for Work – 65%

A red stethoscope is positioned diagonally across the frame, with its chest piece at the bottom left and its binaural at the top right. The tubing is coiled in the upper right. The background is a light, neutral-toned surface, possibly a desk, with a white object partially visible on the right edge. The text is overlaid on the left side of the image.

Sick note to fit note

DWP's Statement of Fitness for Work

Sample statement of fitness to work

Statement of Fitness for Work For social security or Statutory Sick Pay

Patient's name

I assessed your case on:

and, because of the following condition(s):

I advise you that:

☐ you are not fit for work.

☐ you may be fit for work taking account of the following advice:

If available, and with your employer's agreement, you may benefit from:

☐ a phased return to work ☐ amended duties

☐ altered hours ☐ workplace adaptations

Comments, including functional effects of your condition(s):

Sample

This will be the case for

or from to

I will/will not need to assess your fitness for work again at the end of this period.
(Please delete as applicable)

Doctor's signature

Date of statement

Doctor's address

Med 3 04/10

- 6 April 2010
- new options
- removed fit for work
- more space
- tick boxes to aid return to work
- 3 months issue limit

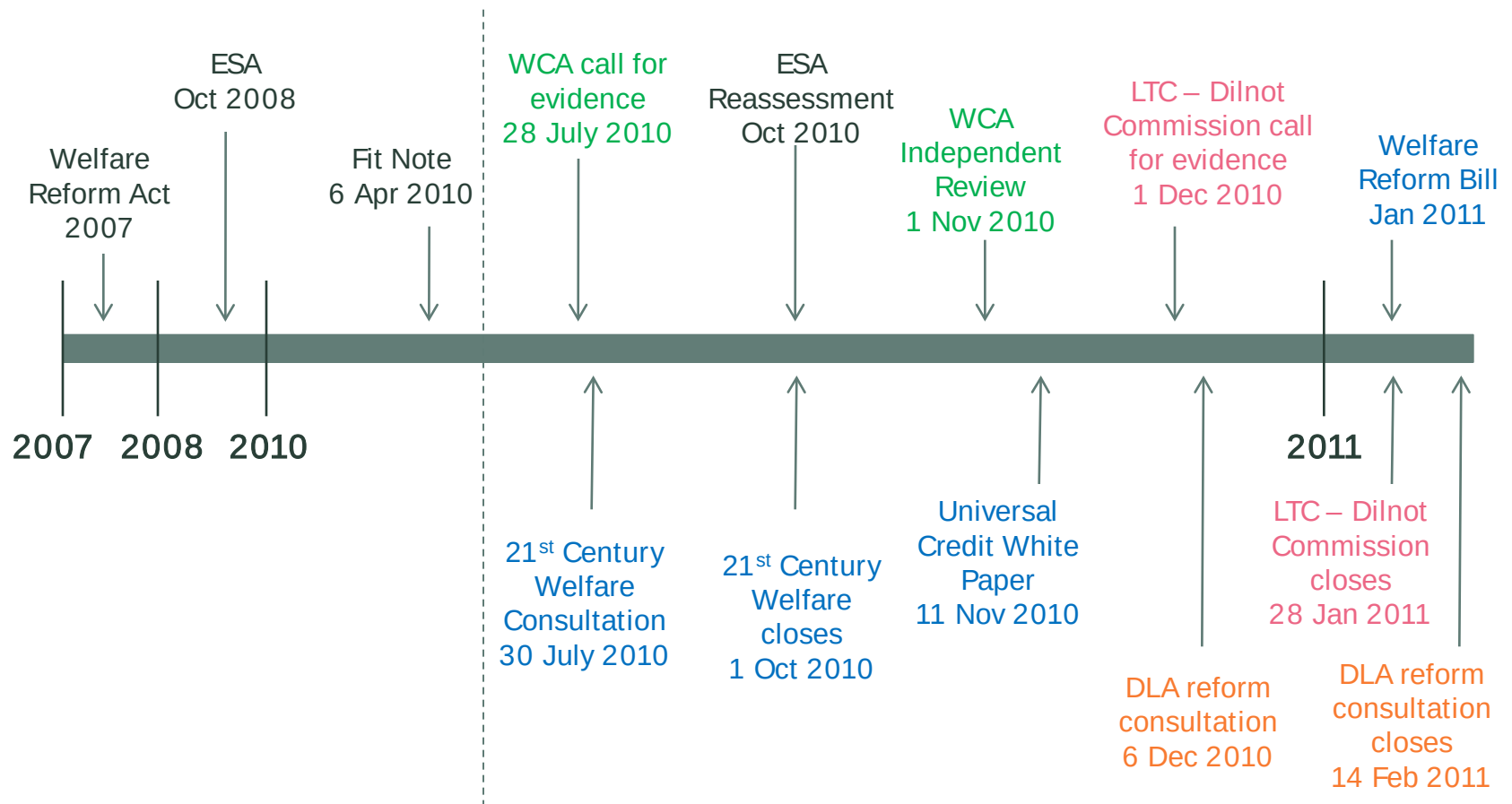
A red, stylized sculpture of a person's head and shoulders, mounted on a metal pole, overlooking a city skyline. The sculpture is positioned in the foreground, and the city skyline is visible in the background.

21st Century Welfare

Welfare Reform proposals from the coalition government



Time line of events



Consultation paper



DWP Department for
Work and Pensions

21st Century Welfare

Presented to Parliament by the Secretary of State
for Work and Pensions by Command of Her Majesty
July 2010

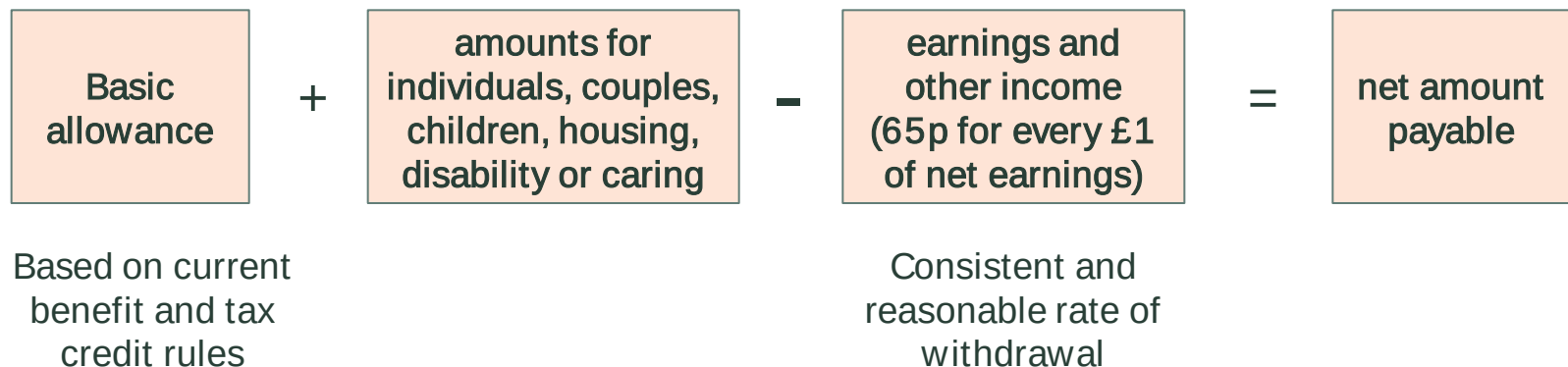
Cm 7913

£14.75

- Consultation paper issued on 30 July 2010, seeking views to inform the Government's thinking on reforms to the benefits and tax credits system
- Laid out a number of proposals to change the benefits system, making it simpler and more efficient
- Fewer benefits and focus on ensuring that work always pays and is clearly seen to pay
- Consultation closed 1 October 2010, the outcome of which have been published in a White Paper - "Universal credit: welfare that works" on 11 November 2010
- Swiss Re responded via the ABI

White Paper – "Universal credit: welfare that works"

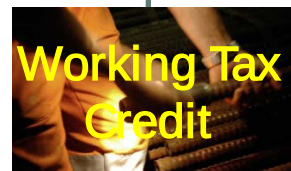
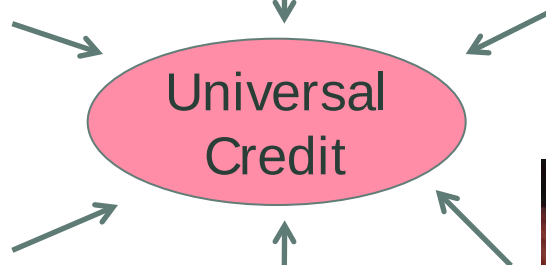
- Sets out the Coalition Government's plans to reform the welfare system by creating a new Universal Credit (UC):



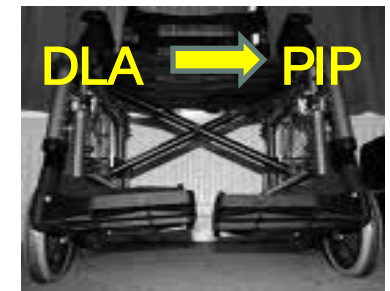
- incentive to return to work reinforced through system of disregards and conditionality
- household benefit payments capped
- delivered through new IT system, using up to date earnings from employer to calculate the UC on a household basis

Universal Credit - the details

INCLUDED



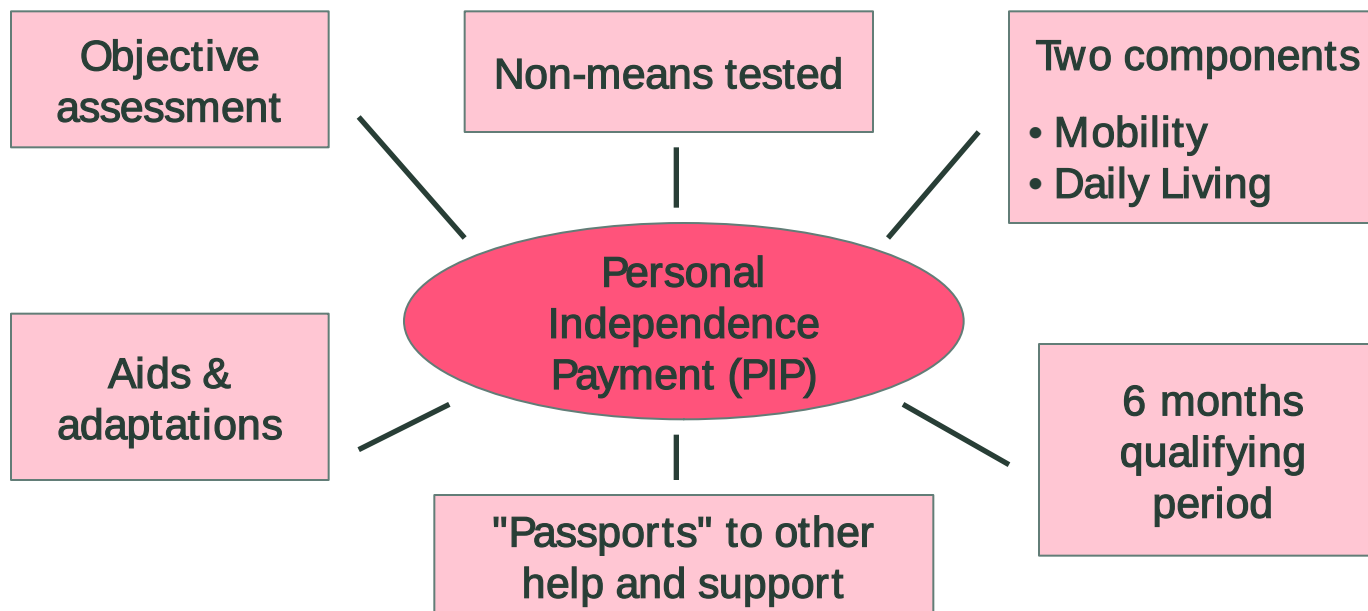
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Welfare Reform Bill in January 2011, claimants from 2013 will enter the new system, existing claimants phased in

Disability Living Allowance (DLA) reform

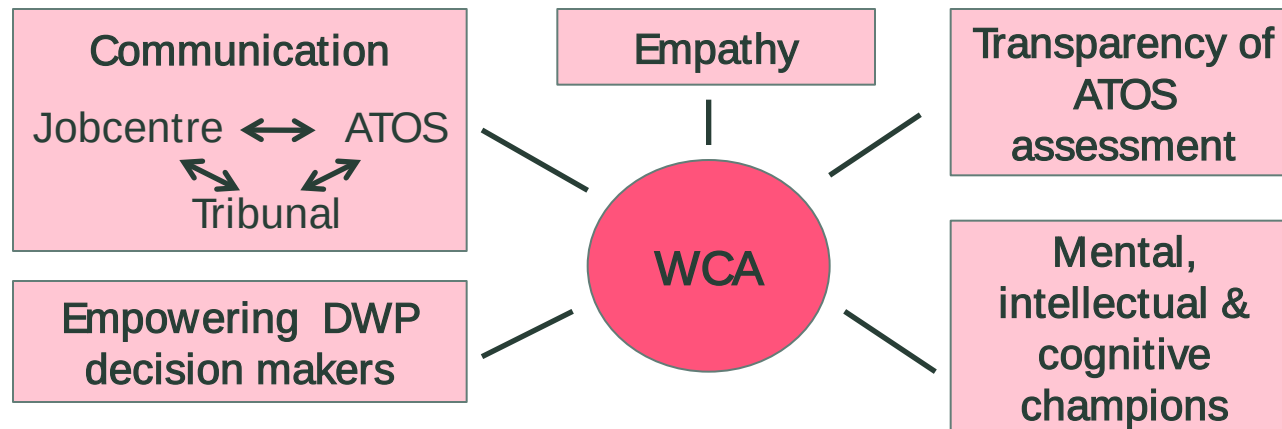
- Consultation paper issued 6 December 2010, seeking views on reforming DLA and introducing a new objective assessment



- Consultation closes 14 February 2011, plan to publish the responses and the action the DWP will take as a result in Spring 2011

WCA – Independent review

- Call for evidence consultation paper issued 28 July, inviting feedback on how the WCA is operating.
- Outcome of Independent Review of WCA published in November 2010



- Programme of work set out for next two years to:
 - review the WCA descriptors
 - use of other healthcare professionals in the ATOS assessment



Dilnot Commission

- Commission on Funding of Care and Support: Consultation runs from 1 December 2010
- Aimed at achieving affordable, sustainable funding for care and support
- Four key priorities for reform:
 - ensure people understand how the care and support system works and be encouraged to plan accordingly
 - ensure people have the opportunity to be protected against the future cost of care and support
 - ensure people are clear about the role of the wider system of public support (including the NHS and social security)
 - increased resources be it public, private or voluntary, will need to be dedicated to care and support in the future
- Call for evidence closes on 28 January 2011, Swiss Re are responding

Impact and opportunities

Implications

- Review Income Protection (IP) benefits for WRA group
- Catalyst for active management of older claims?
- Shift in focus to what individuals can do – pressure on employers?
- Do not need to be 100% fit
- Reinforces our desire to assist people back to work
- Unwritten policy terms - Green light for rehabilitation
- Lessons for our market?
- Implications for TPD also?





Implications

- State benefits harder to obtain and maintain
- Many consultation papers/calls for evidence – all contain same message
- Work is good for you, initiatives to support return to work activities
- Alignment between these proposals and insurers' rehabilitation initiatives
- Positive influence on attitudes to work and buy-in to rehabilitation
- Making the assessor's role in facilitating a return to work easier
- Improved claims experience due to shifting attitudes towards work?

Opportunities

- Private / public partnership opportunities
- Protection industry service providers
 - replacing ATOS in undertaking the WCA?
 - undertaking job preparation activities
 - undertaking the ADL assessment for PIP
- Insurers:
 - effective management of IP portfolio
 - decision makers for ESA?
 - consultants in the development of the WCA and PIP "Daily Activity" assessment
 - trainers for DWP decision makers
- Decreasing state provision raises need for self provision
 - need for insurance



Swiss Re



Summary



Summary

- Rapidly changing welfare environment
- Positive impact for claims management
- Creating opportunities for our industry
- Product development
- Swiss Re will keep you updated on developments

A photograph of a seal looking out of a circular porthole window. The seal's head is pressed against the glass, and its eyes are visible. The background outside the window is a dark, textured surface, possibly underwater or a cave. The porthole frame is dark and metallic.

Any questions?

Louise Ockenden
Health Claims Forum
10 February 2011

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Thank you



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